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POLICY NUMBER: FP-OPSFIN-101

Journal Entries

This policy includes guidelines for the preparation and approval of Journal Entries.

POLICY STATEMENT

Journal entries are utilized to record certain financial transactions into the general ledger, including both system generated transactions and manual transactions. Treatment of a transaction as system generated or manual may vary across regions based on systems, nature, and volume. All journal entries should have supporting documentation (1) demonstrating the appropriate application of accounting policies and procedures and (2) appropriate approval.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels). In some Shared Service models, the Centers of Excellence may follow the Corporate Journal Vouchers policy & related guidelines.

EXCLUSIONS/EXCEPTIONS

This policy is not applicable to system-generated Journal Entries. System-generated Journal Entries are defined as those entries which have absolutely no human intervention and cannot be manipulated during the posting process.

A. JOURNAL ENTRY TYPES

The following provides a listing of the common types of journal entries to be used in recording transactions to the General Ledger:

- 1) **Recurring Entries:** Recurring entries are routine entries to record normal business activities. A recurring entry is coded to the same account and recorded for the same amount each period. The journal entry files are established at original initiation of the transaction. An example includes the monthly amortization of an insurance policy prepayment over the term of the policy (e.g., 6 months or 12 months).
- 2) **Standard Entries:** Standard entries are entries to record normal business activities. A standard entry generally uses the same account coding, but the amounts can vary period to period. Examples include entries to record payroll accruals, bad debt reserve, depreciation, and amortization.
- 3) **Non-standard Entries:** Non-standard entries are manual entries to record non-routine or non-recurring entries or adjustments. Examples include recording the result of changes in accounting estimates, asset write-offs, prior period adjustments, or non-routine transactions.
- 4) **Reclass Entries:** Reclass entries are non-standard entries to adjust or reclassify a recorded amount from one account or department to another. Examples include reclassifying an account balance from an incorrect account to the correct account.

B. JOURNAL ENTRY PREPARATION

Journal Entry Preparation

- 1) The Team Member preparing the entry should understand the nature and purpose of the journal entry.
- 2) All journal entries must be adequately supported by documentation explaining the rationale and supporting the amount of the journal entry. Examples of supporting documentation include: bank statements, detailed calculations (e.g., bad debt reserve calculations, accrual estimates), vendor invoices, copies of incorrect journal entries (or journal entries to be corrected)
- 3) All journal entries are required to have appropriate support attached or cross-referenced to other locations or files as appropriate.
- 4) The amounts in the journal entry must agree to the supporting documentation and be recorded to the proper account, department, Business Unit, Operating Unit, Project, affiliate, and product code (as applicable).

- 5) All journal entries must be signed and dated by the preparer. Note that this requirement is not applicable for the journal entries posted through the electronic workflow process that maintains an electronic record of journal entry activity.
- 6) A complete Journal Entry packet must include a Lead Sheet, supporting documentation, and a system generated Journal Entry Post Report. Both the Lead Sheet and the Post Report must include the following:
 - Date prepared/posted and for which applicable month
 - Detailed journal description
 - General ledger coding
 - Applicable amounts

Journal Entry Posting

- 7) Journal entries should be uploaded directly by the preparer to the General Ledger using journal entry upload files or entered directly into the system.
- 8) The preparer of the journal entry shall verify that the entry has posted to the General Ledger system.
- 9) The journal entry should be posted by the business day due date per the monthly close checklist. If the journal entry will not be posted by the due date, the preparer shall immediately notify their supervisor. Once the journal entry has posted, the preparer of the journal entry shall update the monthly close checklist indicating that the task has been completed.

GL or Other Systems with Workflow

- 10) If the GL or other systems (i.e., Operations Audit) has approval workflow enabled, it must be used.
- 11) When approval workflow is enabled, the journal preparer uploads the entry to the system and the entry does not post until the designated approver reviews and approves the entry, then the approver becomes the entry poster. This is only applicable if the journal entry cannot be edited by the approver and their only options are to approve or reject the entry in the system **AND** the system provides an audit trail.
- 12) All journal entries are required to have appropriate support (attached or cross-referenced to other locations or files as appropriate) and must be reviewed prior to being approved in the system.

C. JOURNAL ENTRY APPROVAL

- 1) The journal entry preparer and approver **cannot be the same person**.
- 2) The approver must understand the nature and purpose of the journal entry and ensure that there is sufficient supporting documentation corroborating the journal entry.
- 3) The approver must ensure the amounts in the journal entry reconcile to the supporting documentation and that the amounts are recorded to the correct account, department, Business Unit, Operating Unit, Project, affiliate, and product code (as applicable).
- 4) The approver must ensure the amounts and account coding on the Lead Sheet tie to the amounts and account coding on the system-generated Post Report.
- 5) As a best practice, journal entries should be reviewed/approved on the same day that they are prepared/posted. All journal entries must be reviewed and approved prior to month-end close (i.e., the last day a journal can be posted).
- 6) All complete Journal Entry packets shall be signed and dated by the approver. Note that this requirement is not applicable for the journal entries posted through the electronic workflow process that maintains an electronic record of journal entry activity.

JOURNAL VOUCHERS

- 7) All journal entries must be approved by the Finance Leader or appropriate Finance designee (i.e., the Finance Leader should not be preparing entries).
- 8) If the Finance Leader must prepare a journal entry for any reason, then the ADOF (or appropriate Finance designee) **and** the GM must approve the journal entry prior to month-end close. If the ADOF (or appropriate Finance designee) or GM has questions while reviewing the journal entry, they should contact their Regional Finance Director.
- 9) If due to the size of the hotel or resource limitations, a Finance Leader regularly prepares journal entries, the following protocols must be followed:
 - i) Finance Leader must submit and obtain a signed waiver from the Regional Finance Director, documenting the alternative procedures to be utilized for the ongoing exception, and retain the waiver at the property, per FP-OPSFIN-160 Policy Waivers.
 - ii) The Regional Finance Director (or designee as assigned by RFD) must review and subsequently approve a sample of the hotel's journal entries quarterly.

D. JOURNAL ENTRY CHECKLISTS

- 1) A monthly checklist of recurring and standard journals must be maintained, indicating the description/title of the journal entry and the Team Member preparing the Journal Entry. The checklist must be used to ensure that all recurring and standard Journal Entries have been recorded and the checklist must be signed and dated by the Finance Leader prior to the completion of month-end close.
- 2) Prior to the completion of month-end close, a system generated listing of all manually prepared journals for that period must be produced. The Finance Leader (or designee) is required to match the system generated listing back to the physical journal entries to confirm that all journal entries have been prepared, have supporting documentation, and are approved. The Finance Leader's (or designee) review and approval is evidenced by signing and dating the system generated listing prior to completion of month-end close.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Lead Sheet	The cover sheet showing all required journal entry information as defined in section B6.
Regional Finance Director	Regional Team Member responsible for the Accounting/Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.
Post Report	Report generated from the General Ledger system (i.e. PeopleSoft, Sun, etc.) which details the posted amounts and accounts for a specific journal entry.